all know you don’t make the best decisions when your judgement is clouded by emotions.

Having emotional discipline during a bear market isn’t easy for anyone. It takes guts to look at your stocks ‘all in red’ and not want to panic and pull your money out. Remember, if you have 10 shares, even if they’re in the red, you still have 10 shares. The number of shares you have during a market downturn hasn’t changed, it’s just the value of them that’s changed, and, if you invest in a diversified low-cost broad market fund, you should eventually see the value rise back up.

Instead, when the market drops, investors in training with good emotional control see it as an opportunity to buy more stocks they love — it’s a sale day for your favourite stocks and funds. Like seeing that MacBook you wanted, but it’s now $999 instead of $1999. (It’s important to note that you don’t want to just buy any falling stocks during market drops. How many times have you regretted impulse buying something you didn’t need just because it was a ‘good deal’?)

The other side of the emotional coin is being overconfident when the stock market is doing well. There’s a saying in the investing world that a rising tide lifts all boats. When the market itself is doing well, you could take a punt at a few companies and see them rise in value. Investors in training know not to mistake good luck or good timing as skill. They also know not to over-invest in a recent winner. If their Microsoft stock went up 200 per cent, it doesn’t mean they should necessarily invest more money into it. It’s still important to stick to the fundamentals of analysing the company’s future growth. One of the worst mistakes an investor in training can make is selling what has done poorly and putting more money into what has done well. (That’s buying high and selling low, the opposite of what you’re supposed to do!)

One of Warren Buffett’s famous quotes is to be greedy when others are fearful and fearful when others are greedy. He’s essentially saying to invest in the opposite way from what your emotions are telling you. It’s not an easy skill to learn, but investors in training will be rewarded for their ability to strengthen their emotional discipline.